

May/June/2022/variant 11

1-B:

The maximum output that can be produced is 150 units of good Y and 150 units of good X.

If 110 units of Y are produced, then with this, 100 units of "X" will be produced, which means that **50** (150-100) units of good X will have to be foregone to produce the quantity of Y.

2-C:

- A- This is a data that is based on facts and can be tested as it says that individuals above 60 yrs are eligible for pensions, thus making it a positive statement
- B- This is also based on factual evidence that eligible individuals were given a pension of 500 RS per month, thus making it a positive statement
- C- Here a value judgement or opinion of supreme court is presented who regards "pensions as unrealistic", which makes it a normative statement.
- D- The Indian government announcing its plans to increase the payment to 1000 RS per month is also a positive statement.

3-C:

Due to the problem of scarcity, there are three resource allocation questions that have to be answered:

One is "What to produce?"

The other is "How to produce?"

The third is "For whom to produce?"

This is why C is the answer

4-D:

- 1) Money performs the function of medium of exchange as it is used in the transaction i.e. it facilitates buying and selling of goods and services
- 2) Money also performs the function of store of value as "People hold money as a store of value because they expect it to retain its purchasing power over time"
- 3) Money performs the function of unit of account as it is used to measure the value of assets and wealth in monetary terms
- 4) However, "measure of satisfaction" is not a function of money, which makes it incorrect and therefore the option becomes correct. Money has four functions: "medium of exchange", "store of value", "standard of deferred payments" and "unit of account"

5-B:

- A- If the good is an inferior good, this means that a rise in price will contract its quantity demanded by a larger percentage (since the demand for it is elastic), leading to a fall in total revenue.
- B- When a rise in price is due to a rise in demand, this represents an increase in willingness of a consumer to pay higher prices for a good with an elastic demand, leading to a rise in Total Revenue, making it correct.
- C- When the supply of good is inadequate to meet demand, this represents a shortage, which will result in a rise in price, and since the demand is elastic, it will bring a contraction in qty demanded by a relatively higher percentage, leading to a fall in total revenue.
- D- When the supply of good is inelastic, due to low responsiveness of producers, there is more likely to be a greater upward pressure on prices due to less ability to fill the gap of shortages, **leading to a contraction in qty demanded by a higher percentage in case of elastic demand**, leading to a fall in total revenues.

6-B :

- A- A decrease in demand for carrots will lead to a fall in price, which results in a fall in producer surplus.
- B- A decrease in price for carrot seeds will decrease the cost of production of carrots, resulting in a rise in supply, because of which the producer surplus rises since the minimum price a producer is willing to accept falls, making this the answer
- C- A decrease in the price of cabbage will reduce the demand for carrot which is a substitute, leading to a fall in price and in turn producer surplus.
- D- A decrease in subsidy on carrots will increase the cost of production of producers causing a fall in supply, and the producer surplus decreases because the minimum price a producer is willing to accept rises.

7-C:

Since the seating capacity is fixed at about 5000 seats, this suggests that supply is **perfectly inelastic represented through a "straight, vertical line"**. And the fact that brand has become even more popular not only implies that the **demand may be higher (shown through an increase in demand from D to D1)**, but also shows that it may be relatively inelastic (since it was already popular). Such a scenario is only shown in **C** making it the answer

- A- Here, although the supply is fixed, the demand curve is "perfectly elastic", and importantly, the demand is shown to decrease
- B- Here, although the demand is shown to rise, the supply is not fixed
- D – Here, although the demand is shown to rise, the supply curve is "perfectly-elastic"

8-A:

The correct answer is A: "The additional satisfaction an individual gets from consuming most goods decreases as consumption increases."

This is because of the principle of diminishing marginal utility, which states that as an individual consumes more of a good, the additional satisfaction or utility they derive from consuming each additional unit of that good decreases. Therefore, in order to derive the same level of satisfaction, the individual must be willing to pay a lower price for each additional unit of the good (which is why the "marginal consumer surplus falls"). This results in a downward-sloping demand curve.

The other options are not correct because:

B: While measuring additional satisfaction or marginal utility, other factors such as incomes are held constant.

C: While it is true that individuals have limited incomes and must make choices about how to allocate their spending, this is not the reason why the demand curve slopes downward.

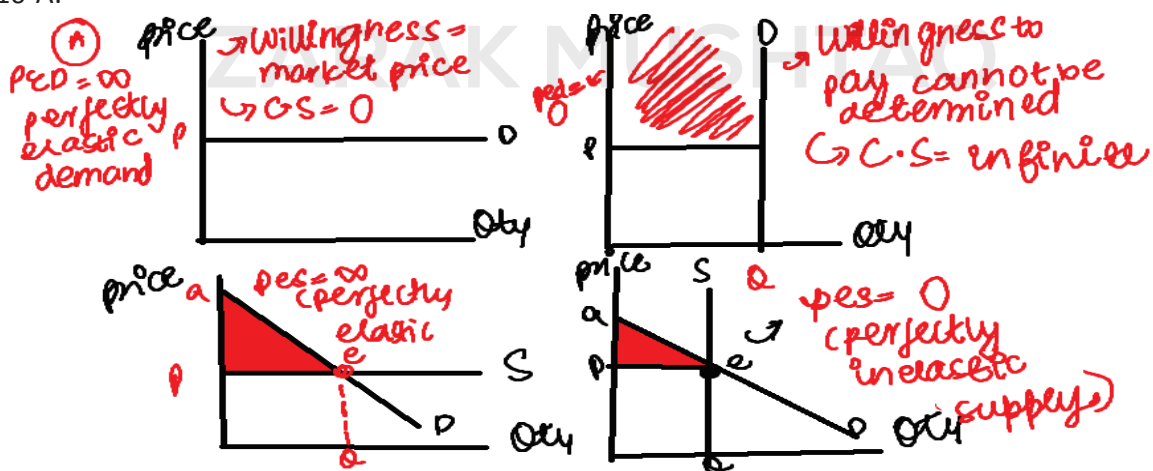
D: While it is true that in some cases, the price of a good may decrease as the quantity purchased increases (known as quantity discounts), this is not the primary reason why the demand curve slopes downward.

9-D:

The basic definition of PES is that it measures the responsiveness of a percentage change in quantity supplied to a percentage change in price.

Therefore, option D, which states that it is "the comparison of the proportionate change in supply to a proportionate change in price" is correct.

10-A:



A: Perfectly elastic demand represents a “perfectly competitive market structure” where 1000’s of producers are involved in making homogenous products ,giving existence to **perfect substitutes** and since consumers have **perfect knowledge about perfect competition** , advertising cannot be used to influence them; therefore , consumers would not be willing to pay a price more than the market price ,**and since willingness is equal to market price, the consumer surplus will be zero.**

B: Perfectly inelastic demand represents a situation whereby there are no close substitutes as with commodities such as blood ,in the case of which willingness to pay cannot be determined and therefore the consumer surplus is infinite.

C: When supply is perfectly elastic ,this represents that the producer will be willing to supply any quantity at any prevailing price and would not be willing to supply any quantity below this price since their cost of production would not be covered, therefore all the cost burden will be passed to consumers in form of higher prices if any occurs due to “indirect taxation” for example. This will decrease the consumer surplus but it will still exist assuming that the demand curve is normal.

“Willingness to pay of consumers will depend upon price elasticity of demand, which will in turn determine if consumer surplus is negative, as with perfectly elastic demand” ,therefore making this incorrect

D: When supply is perfectly inelastic , this represents that there will a sharp increase in prices because the producer would be unable to respond by increasing supply in the momentary run , for example, in case of cinema when the seating capacity is fixed. This will decrease the consumer surplus but it will still exist assuming that the demand curve is normal.

11-B:

A)Even if the govt bans advertisements, price mechanism may still perform its functions of signaling, incentivizing and rationing.

B)Maintenance of an effective maximum price that is a “price control”, which is alternative to price mechanism, would prevent price mechanism from functioning, thus making this correct

C) Even though there is a limited supply, price mechanism can still be used in determining resource allocation of scarce resources.

D) Even when there is monopoly, price mechanism may still function.

12-C:

If the price is above the market equilibrium level, this represents the existence of surplus as at a higher price level supplied exceeds qty demanded.

As the market adjusts towards equilibrium, the “ equilibrium price level will be lowered” due to surpluses, in response to which at a lower price level , **quantity supplied falls, and similarly, quantity demanded will extend**, which will eliminate surpluses and cause the market to reach the equilibrium”

This is why will be the answer.

13-C:

A- **Positive cross elasticity of demand represents substitutes.**

In case of a positive cross elasticity of demand,' quantity demanded 'and not 'price' will be sensitive to change in price of close substitutes.

B- This is wrongly stated as the qty demanded will be sensitive instead of price , since cross elasticity of demand measures **the responsiveness of a percentage change in qty demanded of a good to a percentage change in price of another good.**

C: This is correctly stated as according to XED,the qty demanded of good will be sensitive to changes in price of close substitutes.

D: The qty demanded of good will be sensitive to changes in prices of close substitutes and not their qty demanded.

14-C

C- If maximum price is imposed above the equilibrium price ,it will result in the price ceiling being ineffective as it will fall, and in this case , back to the equilibrium ,therefore leading to " **no effect** "

If max price is imposed below the equilibrium, at a lower price level, since consumer surplus increases, **quantity demanded will extend** relative to **quantity supplied that will contract**, resulting in **excess demand** or in other words ,shortage ,making it the answer.

When minimum price is imposed above the equilibrium, this will result in **qty supplied extending** at a higher price level relative to **qty demanded which will contract** , thereby resulting in a surplus ,making this the answer.

15-A

When a government decides to introduce tolls to drive on all major roads, this will **reduce the journeys on major roads**, as consumers now switch to minor roads, that is, the substitute due to it being without a toll, **resulting in a rise in journeys on minor roads**.

This is why A is the answer.

16-B

A- We can't say that the average prices were higher in 2012 than in 2015, this is because in 2012, the quantity demanded in form of passenger journeys is clearly seen to rise, and when revenue is rising because of a rise in quantity, this may represent that average prices may be lower.

B- Average prices were higher in 2015 than in 2014, this is because in 2015, even though the quantity demanded is decreasing by 1% from the previous year, the revenue is shown to rise, which represents that average prices may be higher (in 2015 than in 2014), thus making it correct.

C- Since we have data in percentage form, we cannot conclude that the number of passenger journeys remained the same.

D- Profit is when total costs are deducted from total revenues, therefore we cannot comment upon profits based on data about revenues.

17-D

A situation whereby the government has imposed a maximum price on electricity for poorer households, when the electricity supply is fixed or "perfectly inelastic" represents that even though the quantity supplied is held to be constant, the quantity demanded will extend due to prices being lowered, resulting in shortages.

A- The supply is already fixed, and also at a lower price level, producers would not be encouraged to build more power stations even in the long run, thus making this incorrect.

B- It will not encourage development of electricity even if it's renewable, because the incentives in form of higher prices are taken away through a legally imposed price ceiling.

C- At a lower price level, the producer surplus will decrease.

D- Due to **shortages** as stated above, this situation of excess demand of limited electricity may result in load shedding and a possibility of power cuts, making this the answer.

18-D

Transfer payments made without goods or service being received in exchange.

A- Government spending on hospitals is an example of spending on merit goods, which will be counted in GDP, this is why it would not be a transfer payment.

B- Government spending on motorways is an example of exhaustive, capital spending which will also be included in the GDP, this means that it cannot be a transfer payment.

C- A minimum wage, that is, a price control is not an example of transfer payment

D- Transfer payment is payment made to individuals without receiving goods or services in exchange, and it results in no contribution being made to the GDP, **an example of this is welfare benefits.**

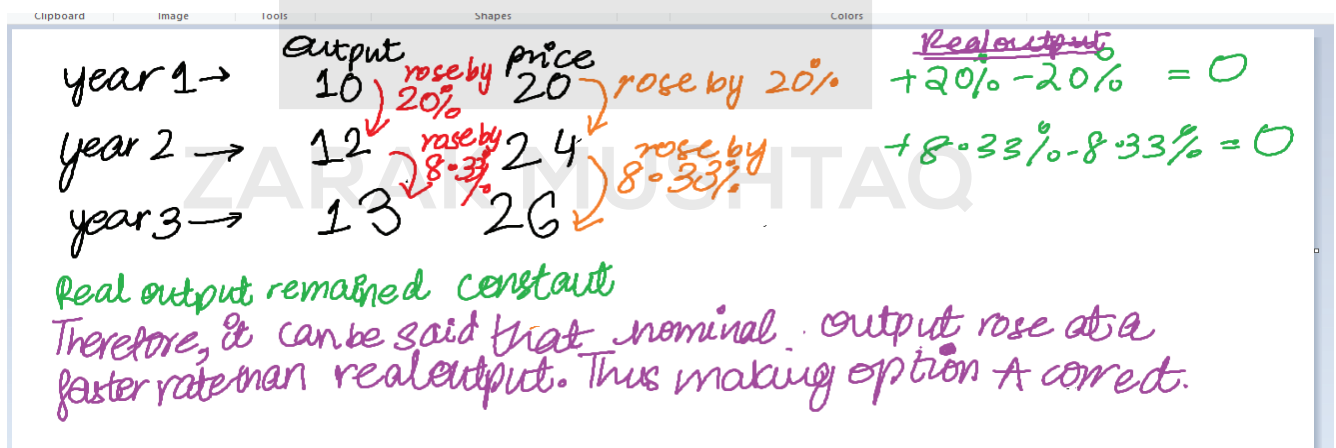
19-B

As a result of depreciation of Turkish currency, there will be an extension in international quantity demanded for the good, as Turkish exports appear globally competitive, **resulting in an increase in production in Turkey.**

Similarly, the imports from Egypt will appear uncompetitive as they will seem expensive to the importer(Turkey), resulting in a contraction in qty demanded of imported goods from Egypt, which is most likely to **result in a fall in production in Egypt.**

This is why B is the answer.

20-B:



Real output% = Nominal output% - Inflation%. Since real output remained constant, it can be said that the nominal output rose at a faster rate than real output.

21- C

A and D - Because of an advalorem Tariff, and specific Tarrif, even though the quantity demanded of imports will contract, it would not be fixed as with quota, thus making this incorrect.

B- In case of embargo, there is a complete ban being placed on the good, and no quantity is allowed to be imported, therefore making this incorrect.

C- A quota is a physical limit placed on imported goods, and this represents a limit on the qty of goods that can be imported by a country of for example: 400 cars, this is why C will be correct.

22-B:

Because of a severe shortage of raw materials, resulting in a tremendous rise in their prices, the costs of production of producers in an economy will rise, as a result of which the **Aggregate Supply curve will shift leftwards from AS1 to AS2 and a new equilibrium will be achieved from "X" to "B"**.

23-C

A- If a government imposes a tax on fuel exports, this would not encourage domestic refineries who export to increase production, as instead they will be discouraged.

B- Imposition of tax on exports of fuel will discourage exports and when export revenues fall, it may result in the trade balance to worsen rather than improve, thus making this incorrect.

C- When less exports are done, this means that the exported goods will be sold in the domestic market, this would prevent shortages in the domestic market and therefore reduce fuel prices for domestic consumers, this is why this becomes correct.

D- A rise in tax on exports will actually cause a rise in tax revenues relative to government spending, resulting in an improved budget surplus, this is why this becomes incorrect.

24- A

Terms of trade is the ratio of export prices to the ratio of import prices.

A- It will fall when the prices of exports, that is, the numerator falls relative to the prices of imports, that is, the denominator.

B- It will rise when the prices of imports fall relative to the prices of exports, thus making it incorrect.

C and D would be incorrect as terms of trade has nothing to do with quantities/volumes of imports and exports.

25-B

B : line 1 represents exports and line 3 represents imports .

This is because if we see **line 2 that is the Balance of Trade**, we can see that in year 2011, when **export revenues are higher** and when import expenditures are lower and **negative, the Balance of Trade is shown to be even higher than the line showing export revenues**, thus making it correct.

26-B

A: If tariffs are imposed on imported goods with price inelastic demand, demand would not contract by much and there would be a rise in import expenditures, representing a rise in supply of currency, leading to depreciation.

B- If interest rates are raised, the incentives to invest in the domestic economy increase and the opportunity cost of not investing in the economy becomes higher; therefore, hot money inflows are attracted which will increase the demand for the currency resulting in appreciation, making this the answer.

C- When income taxes are reduced, disposable incomes of individuals will increase and therefore high purchasing power and consumer confidence due to a fall in Average Propensity to consume, would translate in an increased demand of imported goods, resulting in a rise in supply of currency leading to depreciation of the exchange rate.

D: Selling currency means a rise in supply, which would again result in depreciation.

27A-

A- If the speculators expect that the currency is expected to lose its value in future, they would not purchase it even when the interest rates are higher, that means this decision will be ineffective.

B- When the economy is politically and economically stable, this would attract capital inflows.

C- When the interest rate is higher than other countries, this represents that the incentives to invest in the economy are higher relative to other countries, leading to this being effective.

D- When the reserves of foreign currencies are higher, this represents that the country has a strong position to defend its currency against external pressures, which will increase the confidence of foreign investors, thereby leading to foreign direct investment being attracted.

28-B:

Expansionary fiscal policy is when the government has increased government spending and decreased tax revenues, and **when the government decreases budget surplus ,this implies a fall in tax revenues as a result of fall in taxation and a rise in government spending as a part of a fiscal stimulus**, this represents an expansionary fiscal policy which is shown through option B.

This is why option B is the answer and not option A.

Similarly, changes in money supply and exchange rate are a part of monetary policy

29-D;

A- Banks will lend more in case of expansionary monetary policy measures being taken and **money supply being increased due to quantitative easing for example, that is , an attempt to purchase a large qty of govt bonds to increase money supply.**

B- :A contractionary monetary policy would not result in a higher disposable income as “disposable income represents the income that remains after taxes are deducted”

C: Contractionary monetary policy measures do not deal with taxation.

D:Yes,when due to a fall in money supply as a part of contractionary monetary policy, when interest rates are raised , individual save more, leading to a fall in consumption and in turn a fall in Aggregate demand , which further leads to a **fall in inflation.**

30-D

A- Although devaluation would make imported goods appear expensive, resulting in a contraction in qty demanded of imported goods by a relatively higher percentage when the demand for them is elastic, this will result in a fall in import expenditures and in turn improve the current account position. But since ,it acts as an expenditure switching policy, it would result in the domestic consumption being increased, which will increase Aggregate demand and in turn increase Inflation, **which means that this would be ineffective when it comes to lowering the rate of inflation.**

B - Increasing government spending would lead to crowding-in effect (when govt spending results in a rise in private sector spending) and will stimulate job creation and generation of incomes, which means that the consumption of imported goods will increase as well, thus worsening the current account deficit.

C – Decreasing the direct taxes, for e.g., income tax, will increase the disposable income, which will result in a rise in spending on imported goods, resulting in a worsening effect on the deficit.

D-Increasing the interest rate would lead to more of savings being done as a proportion of household disposable income, resulting in less consumption being done, which means that, the consumption of imported goods will decrease, leading to the current account deficit being improved.

And since, the domestic consumption also reduces, this leads to a fall in Aggregate demand, and in turn leads to prices being lowered, and demand-pull inflation being controlled, thus leading to both these objectives being achieved because of this expenditure-dampening policy.

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